Brazil Macro Monthly

Rising expectations reinforce little room for monetary easing

Highlights

- Global economic activity remains resilient, and China's reopening should offset some of the weakness of aggregate demand. Still, it is too early to rule off the possibility of a recession in some countries, given that the effect of restrictive monetary policy will become increasingly apparent throughout the year;
- In Brazil, the slowdown in economic activity has been spreading across sectors. We maintain the scenario of modest GDP growth in 2023 and 2024 (1% and 0.8%, respectively), after a sharp expansion in 2022 (estimated at 3%);
- We forecast 2023 IPCA inflation at 5.7%, revised from 5.4% after January inflation preview and a gasoline price readjustment. For 2024 IPCA, we raised our forecast from 4.0% to 4.5%, with more expansionary fiscal and parafiscal policies combined with tax uncertainties making the disinflation process even slower;
- The government's recently announced measures should help reduce the primary deficit but are insufficient for a fiscal adjustment. We estimate a deficit of 0.7% and 0.8% of GDP for the public sector in 2023 and 2024, respectively. A new fiscal framework will be key to public debt sustainability;
- The Brazilian exchange has shown high volatility and underperformed emerging peers in recent weeks, reflecting the worsening fiscal outlook and political noises in the domestic environment. Our projections remain at BRL/USD 5.30 YE 2023 and BRL/USD 5.40 YE 2024, decoupled from what economic fundamentals suggest;
- Fiscal uncertainties and discussions on the inflation target put pressure on expectations. We see the benchmark Selic rate at 13.75% until mid-2024.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)	2024 (F)
GDP growth (%)	1.8	1.2	-3.3	4.6	3.0	1.0	0.8
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	9.0	9.5
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.8	5.7	4.5
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	13.75	11.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	5.30	5.40
Primary balance (% GDP)	-1.6	-0.9	-9.3	0.7	1.3	-0.7	-0.8
Gross debt (% GDP)	75.3	74.3	86.9	78.8	73.5	77.2	81.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	61.7	65.0	56.5
Exports (USD Bn)	231.9	221.1	209.2	280.8	334.4	354.5	352.1
Imports (USD Bn)	185.3	185.9	158.8	219.4	272.7	289.5	295.6
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-55.7	-50.5	-53.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-2.9	-2.5	-2.6
FDI (USD Bn)	78.2	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.8	3.9	3.6
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.915	2.038	2.063
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.881	10.495	11.035

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Risk of Impact

In our previous Brazil Macro Monthly - Fiscal and monetary policies on a collision course - we drew attention to the risks of an expansionary fiscal policy in a moment of high government debt and elevated inflation. On this background, we wrote that "We anticipate increasing tension between the Executive branch and the Central Bank."

This risk remains. In its latest monetary policy meeting, the Central Bank pointed out that "The current scenario, particularly uncertain on the fiscal side and with inflation expectations drifting away from the inflation target on longer horizons (…) raises the cost of the disinflation that is needed to reach the targets established by the National Monetary Council". In any event, the Central Bank recognized in the minutes of its latest Copom meeting that the fiscal measures announced by the Ministry of Finance may help to reduce inflation risks ahead.

In the same week, President Lula said that the central bank must explain the reason for such high rates and that the 3% inflation target is too low for Brazilian needs. The President reinforced that fiscal and quasi-fiscal policies should be set to foster investment.

In our view, this diverged signaling between monetary tightening and fiscal expansion tends to add pressure on inflation expectations, making the central bank's task even more challenging. We keep our view that the Selic rate will remain at current level throughout 2023, with an increasing probability that the government proposes an increase in the inflation target for next year, hoping for an (unlikely) room for rate cuts.

Having said that, Brazilian asset prices have recently benefited from a relatively positive global environment, driven by the reduction of the Fed's tightening pace and China's economic reopening. We believe that global disinflation will continue, though it remains uncertain whether the US and Europe will fall into a recession (and how deep it might be).

Global backdrop: Improvement in the global growth outlook should be taken with a pinch of salt

Commodity prices are accommodating at high levels. We see commodities prices relatively stable ahead, supported by demand pressures coming from China´s reopening and supply constraints. The largest risk to our global disinflation narrative is that China´s reopening forces a stronger-than-expected impact on gasoline prices, causing inflation to become stickier. Still, this information appears to be priced in already, and we expect Brent prices to fluctuate around USD 90 per barrel throughout the year.

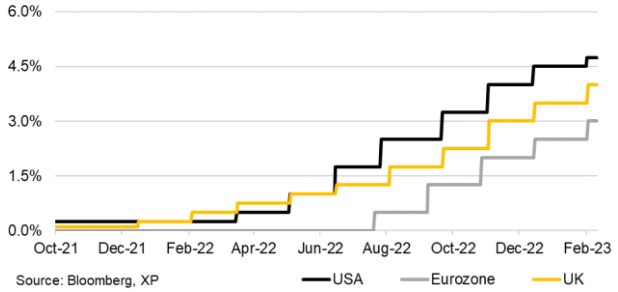
Resilient global activity, although a slowdown is still expected. The global economy has shown a stronger-than-expected performance in recent months, and major economies have resisted entering deep contractionary territory. Fear of a global recession has eased, and the strong growth expected for China and India should offset the weakness in economic activity in the rest of the world. Still, we believe that it is still too early to rule out the possibility that the US and Europe may enter a period of recession, given that the effect of contractionary monetary policy on aggregate demand will become increasingly evident throughout the year.

The Fed decelerated the tightening pace, although pressures remain. The FOMC decided to decelerate the tightening pace to 25 bps in the February meeting, taking the upper bound of the Fed Funds rate to 4.75%. Chairman Powell reiterated concerns regarding inflation and the "extremely tight" labor market, although authorities recognized that the disinflationary process has already begun, suggesting that the tightening cycle is approaching its end. We believe the upcoming inflation numbers will be significantly disinflationary, although the persistent tightness in the jobs market and high services inflation may pressure the Fed to hike rates by 25 bps at least once more.

Resilience in Europe, although it is too early to rule out the possibility of a recession. A few months back, it appeared that Europe would face one of deepest recessions among major economies. Recent data have shown strong resilience of economic activity in the region amid improvements in the energy crisis. Moreover, China´s reopening is expected to bring a positive tourism effect during the summer. Still, monetary policy is becoming increasingly restrictive with the shift of the ECB towards a much more hawkish stance, and tighter financial conditions pose considerable downside risks to the growth outlook in the Eurozone.

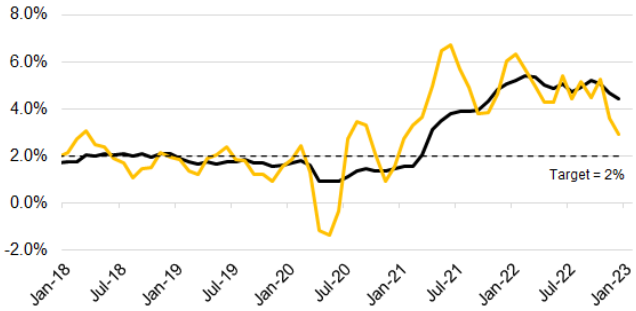
China to partially offset weakness in global activity. We believe that China´s GDP will grow by around 5.5% in 2023, supported by the removal of covid related restrictions and the effects of the expansionary policies delivered throughout the whole of last year. The reopening of the Chinese economy is also expected to have positive spillover effects on other regions, mainly for China´s trade partners.

The global economy is expected to weaken amid tighter financial conditions in major economies
(% - annual policy rate)



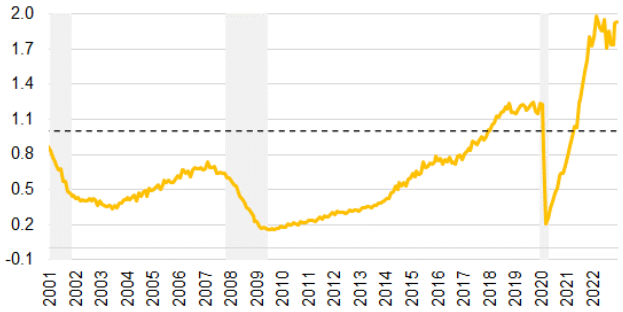
Source: Bloomberg, XP

Dynamics of core inflation in the US approaches target
(% - PCE Deflator)



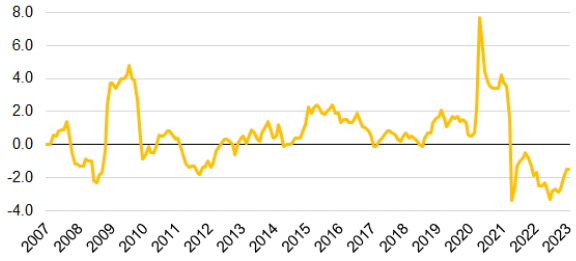
Source: Bloomberg, XP

Tight US labor market amid excess demand for workers
(JOLTS job openings/unemployed persons ratio. Recession in grey)



Source: Bloomberg, XP

Negative Real Hourly Earnings growth in the US may result in a material deceleration in consumption
(% y/y - US Real Hourly Earnings)



Source: Bloomberg, XP

Brazil: Rising expectations reinforce little room for monetary easing

Economic Activity – Widespread slowdown

Stagnant domestic activity at the end of 2022. The Brazilian economy has cooled down in recent months, mainly reflecting the impact of the restrictive monetary policy. According to our calculations, headline GDP stayed flat in Q422 from Q322 (up 2.2% versus Q421). The material economic growth in 2022 – estimated at 3% – was due to a strong performance in the first half.

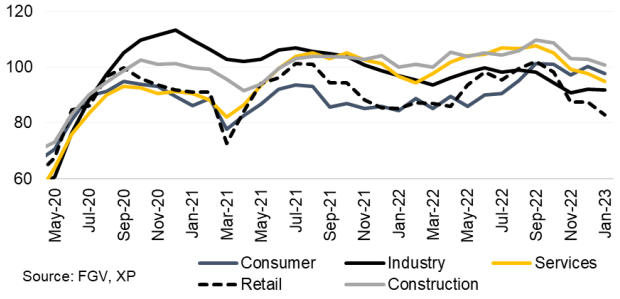
Tightening of credit conditions, following the script. Credit concessions have been slowing down gradually, as expected. Delinquency rates – especially for individuals – continue on an upward trend given the increased household debt service ratio. Credit statistics are expected to worsen further in the coming months, but not severely, in our assessment. In fact, some credit lines showed stabilization of delinquency rates at the end of last year.

Economic slowdown hit the labor market. The main employment indicators have lost strength in the recent period, after several quarters on the rise. According to CAGED report, the net creation of formal jobs dropped from a monthly average of around 200,000 between January and September to 65,000 between October and December, discounting seasonal effects. The national unemployment rate – PNAD data – rose slightly to 8.3% in November from 8.2% in October (monthly estimates), after eight straight declines. On the brighter side, labor earnings remain on an upward path, approaching the levels recorded before the pandemic (in real terms).

We continue to expect a 1% growth for 2023 GDP. Contractionary monetary policy and the end of the 'post-Covid' impulse are the main reasons for the sharp economic slowdown compared to 2022. The loss of momentum has spread across sectors. For example, total industry retreated in the last quarter, while retail and services activities advanced only modestly.

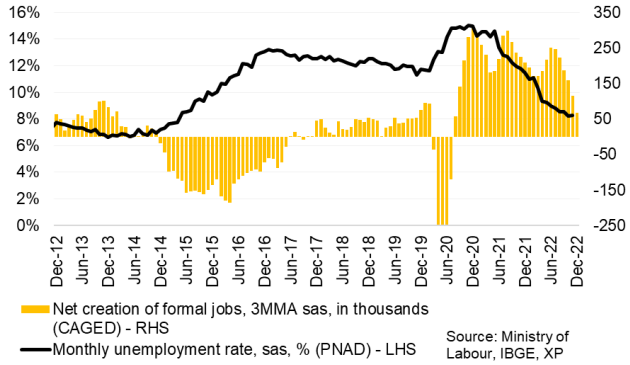
Strong expansion in Agriculture and Livestock as "salvation of the crop" for headline GDP. As per our estimates, the 2023 GDP rate of change would be close to zero if it weren't for the strong performance of agricultural output and the positive statistical carry-over effect from last year's GDP (estimated at 0.4pp). Regarding the primary sector GDP, we anticipate an annual increase of 8% (contribution of 0.5pp to overall GDP), especially due to the jump in the soybean crop. For instance, we predict a 0.6% QoQ expansion for Q123 GDP. Excluding the Agriculture and Livestock GDP, which is expected to climb around 8.5% QoQ, we calculate a virtual stability for headline GDP (-0.1% QoQ). In addition to these factors, the additional rise in the real household disposable income – mainly driven by larger

Widespread deterioration in business and consumer confidence
(s.a series. - Feb-20 = 100)



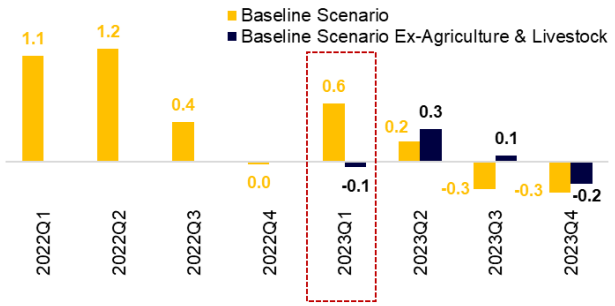
Source: FGV, XP

Economic slowdown hit the labor market
(Net creation of formal jobs and monthly unemployment rate)



Source: Ministry of Labour, IBGE, XP

GDP flat in 2023 were it not for the contributions from Agriculture and statistical carry-over
(QoQ sas - %)



government cash-transfers under the 'Bolsa-Família' welfare program – combined with China´s economic reopening and the subsequent boost to commodity exports should offset the deterioration of other economic fundamentals.

Our projection for 2024 GDP growth remains at 0.8%, compatible with the scenario of high interest rates for a prolonged period. The worsening fiscal outlook has been putting pressure on financial assets and macroeconomic forecasts. The rise in inflation expectations and signs of a restrictive monetary policy for longer are in the spotlight. Consequently, we anticipate that the Brazilian economy will show a modest performance until next year. Advances in the reform agenda (tax reform plays a major role), consistent government efforts aiming at long-term fiscal sustainability, and a more intense recovery of the global economy could lead to better results, but the degree of uncertainty surrounding these factors is high.

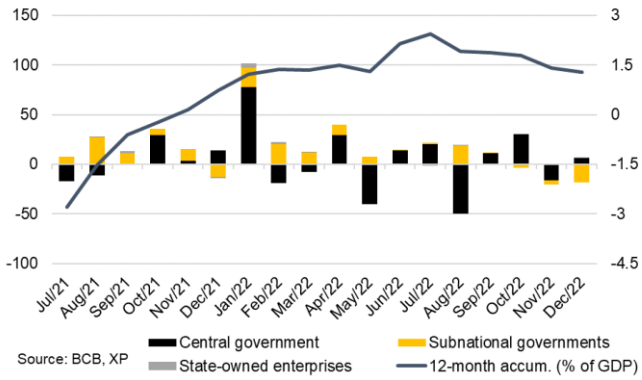
GDP Breakdown (annual change, %)	2021	2022 (F)	2023 (F)	2024 (P)
Agriculture and Livestock	0.3	-1.5	8.0	2.0
Industry	4.8	1.6	0.3	0.5
Services	5.2	4.1	0.6	0.7
Total GDP	**5.0**	**3.0**	**1.0**	**0.8**
Household Consumption	3.7	4.0	1.2	0.9
Government Consumption	3.5	1.7	0.9	0.7
Gross Fixed Capital Formation	16.5	0.6	-0.8	0.5
Exports	5.9	5.0	2.3	1.2
Imports (-)	12.0	0.9	1.5	1.0

Source: IBGE, XP.

Public Finances – short-term measures are still not enough

The government registered a surplus of 1.3% of GDP in its primary balance in 2022. Breaking down, the central government posted a surplus of BRL 54.9 billion (0.6% of GDP), the first positive result since 2013. States and municipalities, recorded a surplus of BRL 64.9 billion (0.7% of GDP), thanks to a positive result accumulated in the first semester. State-owned companies had a surplus of BRL 6.1 billion.

Public Sector Primary Balance reached a surplus in 2022
Monthly in BRL bn (left) and 12-month accum. as % of GDP (right)



Source: BCB, XP

The positive performance, however, should not be seen in 2023. As highlighted in our previous Brazil Macro Monthly, the increase in central government spending for this year is estimated at BRL 210 billion, or 2% of GDP, especially due to the approval of the transition constitutional amendment. Our initial estimate, considering the effects of this expansion, was a deficit of BRL167,2 billion, (1.6% of GDP).

Government announced a revenue-focused fiscal package. Considering the scenario described above, the government announced a package aimed at reducing the projected deficit for the year. Out of the announced measures, some of them were already accounted in our estimates, such as the return of PIS/Cofins on fuels. However, other measures such as the exclusion of ICMS from the PIS/Cofins credit base, the use of resources from the PIS/PASEP fund and some spending reduction through a detailed assessment of the Bolsa-Familia welfare program could result in an improvement of BRL83 billion in the primary result for this year.

Measures announced by the Ministry of Finance			
Measure	Value (BRL billion)*	Likelihood	Legal instrument
Revenues	**156.3**		
Permanent	**83.3**		
Return of PIS/Cofins tax rates on financial income	4.4	In force	Decree n. 11.374/2023
Return of PIS/Cofins tax rates on fuels	28.9	Likely	PM n. 1.159/2023
Exclusion of ICMS from Pis/Cofins tax credits	30.0	Likely	PM n. 1.157/2023
Extraordinary incentive to reduce litigation	15.0	Unlikely	PM n. 1.160/2023
Extraordinary incentive for spontaneous reporting	5.0	Unlikely	PM n. 1.160/2023
One-off	73.0		
PIS/Pasep fund	23.0	Very likely	NA
Extraordinary incentive to reduce litigation	35.0	Unlikely	PM n. 1.160/2023
Extraordinary incentive for spontaneous reporting	15.0	Unlikely	PM n. 1.160/2023
Expenditures	**50.0**		
Budget execution below authorized	25.0	Hard to say	NA
Spending review (including Bolsa-Família)	25.0	Likely	Ordinance
Total	**206.3**		

* Estimates presented by the MF

As a result, we reduced our forecast for the Central Government deficit in 2023 from BRL 167.2 billion, or 1.6% of GDP, to BRL 84.2 billion, or 0.8% of GDP.

For 2024, considering an expenditure growth above inflation and the measures announced by the government, we revised our estimate of a deficit from BRL 129.8 (1.2% of GDP) to BRL 72.6 billion (0.7% of GDP).

That said, there are significant risks regarding tax collection this year. A major part of the revenue gain last year is a direct product of the oil price shock, which sustained higher gains in IRPJ/CSLL, royalties and special participations and dividends. Although our estimates consider that oil prices should remain at current levels, there are significant risks of revenue decline if these prices fall.

Additionally, revenue gains could be offset by increased spending proposals. Discussions are still underway on raising, as of May, the minimum wage to BRL1,320 and the personal income tax allowance to two minimum wages. If approved, the changes could have an impact of BRL5 billion and BRL10 billion this year, respectively.

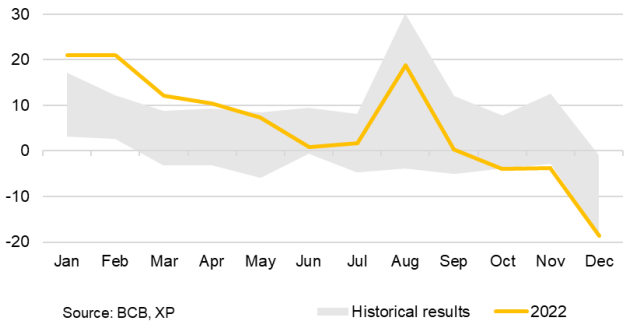
Local government accounts should also bring increased concerns. State and municipal government finances had a significant deterioration at the end of 2022, and also represent a risk this year and next. The results for the last three months of the year showed a deterioration in subnational government accounts, registering the three worst historical results since 2002. In our view, this reflects the impacts of the complementary law that reduced ICMS rates on electricity and fuel – approved in June 2022. For 2023, 12 states have already increased the base ICMS rates to offset these losses. We expect the deterioration to continue, with the local government´s primary surplus falling to 0.1% of GDP in 2023 and reaching a deficit of 0.1% of GDP in 2024.

Public debt fell in 2022, but we expect it to rise again in the coming years. The reversal of the primary balance and the higher nominal interest, resulting from an expected higher Selic rate for longer, should cause the public debt to resume the upward trend this year and next. Our updated forecast stands at 73.5% of GDP in 2022, 77.2% in 2023, and 81.0% of GDP in 2024.

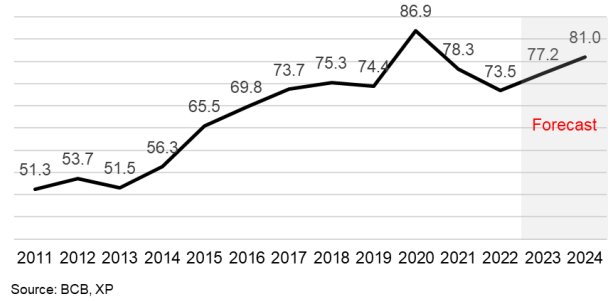
Debt stabilization is highly contingent on a new credible fiscal framework. Uncertainty regarding stabilizing public debt has led inflation expectations to levels above their target for the coming years. As a result, the Central Bank will likely find no alternative but to keep interest rates higher for longer (see monetary policy section), which has the side effect of raising the cost of public debt. To break this vicious circle, it is essential to approve a new – and credible – public accounts framework that creates the path for fiscal sustainability in the medium term.

Finally, discussions on a much-needed tax reform tend to progress but may be tainted by fiscal adjustment. At first, we understand that the national VAT proposal embodied in PEC nº 45/2019 should be the path to be followed for a reform of indirect taxation. On the other hand, there are still little signs on the path ahead regarding changes to the income and payroll taxes. There is, however, the risk that the need for fiscal adjustment leads to increased tax burden proposals, which could contaminate structural discussions.

States and Municipalities shown all-time low at 2022 year end
(in BRL at constant prices)



General Government Gross Debt to rise in 2023
(as % of GDP)



Inflation – Short-term slowdown, pressure ahead

This month, we lift our 2023 IPCA forecast to 5.7% from 5.4%. The adjustment was concentrated on two items - car licensing and gasoline. Our core inflation forecasts remained unchanged.

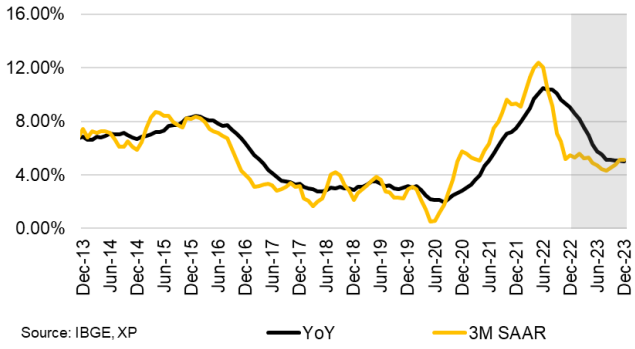
The relatively benign short-term trend continues. Industrialized goods inflation is falling on the back of global disinflation, rising food supply and cooling domestic demand. The 3-month seasonally adjusted annualized moving average of the core IPCA decelerated significantly. We project that this trend will continue throughout the first half of this year.

Tax increases are a risk for the coming months. We already consider the return of Pis/Cofins (federal taxes) on gasoline and ethanol, although it has yet to be confirmed. Moreover, States are seeking solutions to compensate for the ICMS tax break brought by Law 194/2022 by raising the threshold tax rate on fuel and communication or increasing rates for other products, such as medicines. **These measures could add up to 60 bps to our 2023 IPCA estimate.**

For 2024, we raised our forecast from 4.0% to 4.5%. The most recent signaling of fiscal and parafiscal policy and tax uncertainties should make the disinflation process even slower in 2024. In addition, in a recent interview, President Lula da Silva said he believes 4% inflation is more suitable for Brazil than the current 3% target.

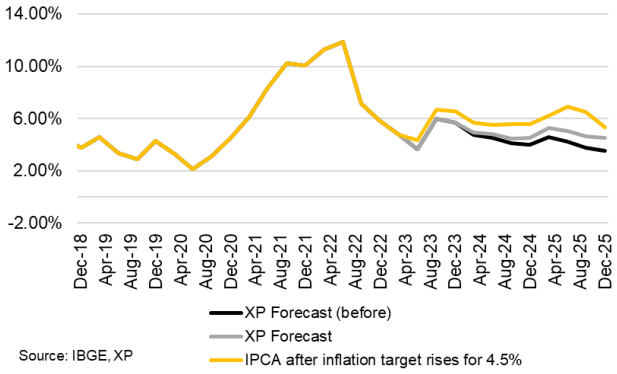
In our view, raising the inflation target would bring uncertainty regarding the commitment to low inflation. According to our estimates, expectations would rise above the new target, with an impact of approximately 150bps in the Central Bank's current estimation for 2024.

Core inflation falls at the margin and should maintain benign dynamics throughout the year
(% change - average core inflation)



Source: IBGE, XP

IPCA projection rises with target change
(% YoY change - IPCA)



Source: IBGE, XP

External Sector: Volatile exchange rate and even more robust balance of payments

The Brazilian exchange rate underperformed its emerging peers in recent weeks. The deteriorating fiscal outlook and political noises in the domestic environment have counterbalanced the improvement in external drivers, such as the weakening of the US dollar and the reopening of the Chinese economy (loosening pandemic-related restrictions). The exchange rate has varied between BRL/USD 4.95 and BRL/USD 5.45 since the beginning of the year.

Currency misalignment has diminished over the past year but is still significant. Considering both structural and cyclical factors, our models suggest that the Brazilian exchange rate could be trading between BRL/USD 4.50 and BRL/USD 4.85 – for more information, see the study *XP Macro Special - New year, same question: Will the Brazilian currency appreciate?*. That is, based on our estimate of misalignment (difference between the current exchange rate and that defined by economic fundamentals),

IPCA groups (% change - YoY ch.)	2021	2022	2023 (P)	2024 (P)
Regulated Prices	17.3	-3.8	9.9	6.2
Market-set prices	10.1	9.4	4.3	3.9
Food at home	8.2	13.2	3.2	3.5
Industrials	12.1	9.6	2.3	4.0
Services	4.7	7.6	6.2	6.6
IPCA	**10.1**	**5.8**	**5.7**	**4.5**

Source: IBGE, XP.

there is room for the Brazilian Real to appreciate throughout 2023. Nonetheless, this crucially depends on reducing the perception of domestic risks, particularly on the fiscal front. And the year should be marked by tough discussions regarding the economic policy stance, with back-and-forth movements. Empirical evidence shows that the BRL can be detached from economic fundamentals for a long time.

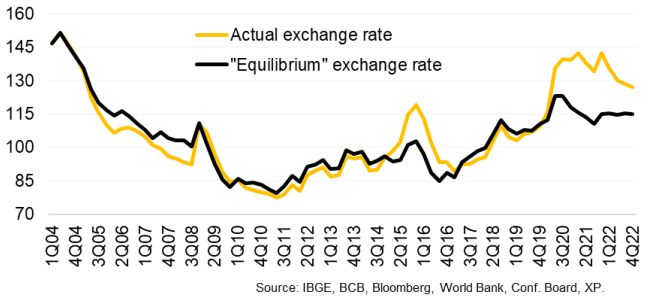
Therefore, for now, we maintain our exchange rate forecast at BRL/USD 5.30 YE 2023, with an annual average of BRL/USD 5.15.

Net inflows in FDI (Foreign Direct Investment) totaled USD 90.6 billion in 2022 (4.8% of GDP), the best result since 2012. This amount was significantly better than the result registered in 2021 (USD 46.4 billion or 2.8% of GDP), reflecting a combination of factors: (I) strong GDP recovery (annual economic growth around 3%, much above the market consensus around 0.5% at the beginning of the year); (II) significant portion of sectors/companies very sensitive to commodity prices, which remain at high levels; (III) economic and political weaknesses in other major emerging economies that generally compete with respect to attracting foreign capital; and (IV) great potential for investments in the 'green economy' (mainly in the renewable energy segment). Looking ahead, we expect net inflows in FDI to reach USD 80 billion in 2023 (3.9% of GDP) and USD 75 billion in 2024 (3.6% of GDP). In other words, levels below those recorded for 2022, in line with the slowdown in economic activity, but still close to all-time highs.

The widening of the current account deficit last year stemmed from the normalization of activities in the 'post-pandemic' period, but we anticipate a reduction going forward. The current account balance ended 2022 at USD -55.7 billion (-2.9% of GDP), down from USD -46.4 billion in 2021 (-2.8% of GDP). We draw attention to the larger deficits in the Services and Primary Income accounts over the past year. Regarding the former, the economic reopening and subsequent normalization of the consumption pattern have driven expenses with international travel, transport services and equipment rental. On the other hand, the merchandise trade balance continues to hover at high levels (USD 44.4 billion in 2022 from USD 36.4 billion in 2021), owing chiefly to elevated commodity prices and firm external demand for goods exported by Brazil. This dynamic should not be reversed in the short term, in our view, especially given better economic growth projections in China. Besides, total imports are expected to grow at a more moderate pace in the current year amid the cooling of domestic demand.

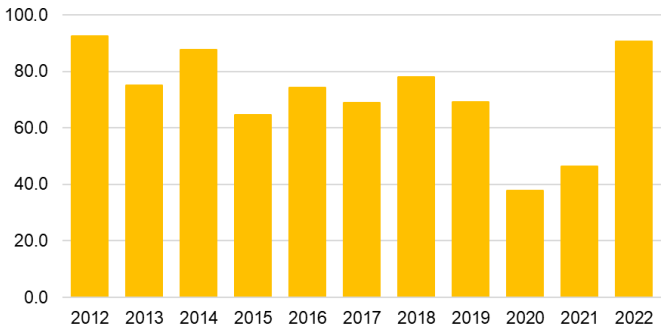
Therefore, on the heels of more encouraging prospects for the value of net exports, we revised our forecasts for the current account balance: to USD -50.5 billion (-2.5% of GDP) from USD -64.5 billion (-3.2% of GDP) in 2023; and to USD -53.0 billion (-2.6% of GDP) from USD -67.0 billion (-3.3% GDP) in 2024.

Exchange rate misalignment has diminished over the past year but is still significant
(FX Misalignment: current vs. defined by economic fundamentals)



Source: IBGE, BCB, Bloomberg, World Bank, Conf. Board, XP.

FDI breaks ten-year record in 2022
(USD billions - accumulated in 12 months)



Source: BCB, XP.

Monetary Policy – Selic rate stays flat; we expect the pressure on the Copom to increase

We continue to see short-term inflation on a downward trend. Global disinflation and domestic economic deceleration should keep consumer inflation on a falling path. Recent IPCA data show decompression even in stickier groups, like services.

However, fiscal uncertainties and the discussion on the inflation target tend to put further pressure on inflation expectations. Indeed, medium term market forecasts are already some 30% above the target, even with current inflation trending down (see chart).

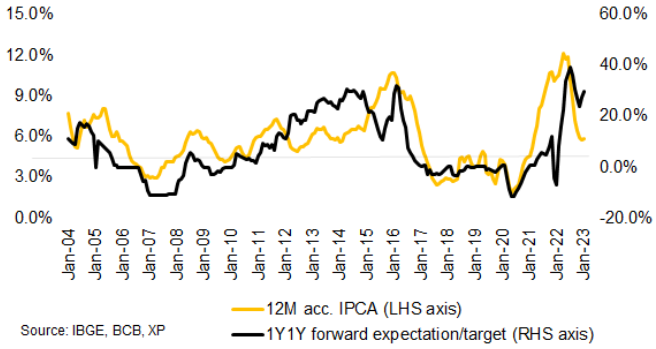
The Copom reinforced this risk in its latest post-meeting statement. "The current scenario, particularly uncertain on the fiscal side and with inflation expectations drifting away from the inflation target on longer horizons (…) raises the cost of the disinflation that is needed to reach the targets established by the National Monetary Council"

In our view, the recent developments and the signaling from the Copom reinforce our scenario that the Selic rate will remain at current contractionary levels throughout this year.

As economic activity loses steam and government debt dynamics worsen, the pressure on the BCB to cut rates increase. The Copom, on its turn, has kept the focus of its official communication on reaching the target, but also recognized that the fiscal measures announced by the Ministry of Finance may help to reduce inflation risks ahead.

For 2024, we now see higher inflation and, therefore, higher nominal interest rates. Due to rising inflation expectations, we raised our IPCA forecast for 2024 to 4.5%. Thus, we now see lower room for nominal rate cuts next year. **We adjusted our Selic forecast to 11.0% for 2024 yearend.** If inflation expectations continue to rise, the room for rate cuts tends to be even lower.

Medium-term expectations remain above target, despite better current inflation
(12-months acc. inflation, expectation deviation from the target - %)



Source: IBGE, BCB, XP

XP Forecasts	2018	2019	2020	2021	2022 (F)	2023 (F)	2024 (F)
GDP growth (%)	1.8	1.2	-3.3	4.6	3.0	1.0	0.8
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	9.0	9.5
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.8	5.7	4.5
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	13.75	11.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	5.30	5.40
Primary balance (% GDP)	-1.6	-0.9	-9.3	0.7	1.3	-0.7	-0.8
Gross debt (% GDP)	75.3	74.3	86.9	78.8	73.5	77.2	81.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	61.7	65.0	56.5
Exports (USD Bn)	231.9	221.1	209.2	280.8	334.4	354.5	352.1
Imports (USD Bn)	185.3	185.9	158.8	219.4	272.7	289.5	295.6
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-55.7	-50.5	-53.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-2.9	-2.5	-2.6
FDI (USD Bn)	78.2	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.8	3.9	3.6
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.915	2.038	2.063
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.881	10.495	11.035

Source: IBGE, BCB, Bloomberg, XP.

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